

The Business Model Canvas

Nespresso's Recurring Revenues



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Nespresso (owned by Nestlé) turned a transactional industry - selling coffee - into one that produces recurring revenues. Their business model is built around well designed coffee machines and aluminium pods that contain premium coffee.

Instructions:

Copy Nespresso's business model mechanics that produce the recurring revenues into your own business model design:

- A base product (coffee machine) and a consumable product (pods)
- Transactional revenues from the base product and recurring revenues from the consumable

Other examples:

Printers, razor blades.